

Image 3.9 – Importance of Previous Week's High and Low

Above image 3.9 is a 15-min chart of GAIL. Both previous week's high and previous week's low are marked on the chart.

On 6-July-2021, the price went close to the previous week's high, but it failed to trade above this level. In this case, the previous week's high acted as resistance.

On the same day and in the first candle of the next day (07-July-2021), the price failed to trade below the previous week's low. Hence, in this case, the previous week's low acted as support.

Hence, it is always better to mark the previous week's high and low levels. If you take a long trade on any trading day and the price reaches close to the previous week's high, it is better to exit some quantity or trail your stop-loss closely to encash the maximum benefits from your long position.

Similarly, if you have a short position and the price reaches the previous week's low, it is better to exit some portion or trail your stop-loss to get the maximum benefits from your trade. If the price breaks the previous week's low, then any way you will get the benefits. But if it reverses from that level, you will be in some profits.

Magic of Round Numbers!

Round numbers are easy to remember in stocks. Besides, most round numbers occupy a deep place in our subconscious mind. For example, getting a job with a monthly salary of Rs.1,00,000+ is a dream of many Indian youth. So, automatically the 1,00,000 round number is stored in our memory, and it impacts all other areas of life.

Similarly, 100 is a round number. Whenever petrol/diesel price crosses Rs.100, people start to protest, and TV channels create sensational news.

For the same reason, many products are not priced at the round numbers. For example, most products' prices will be 99, 199, 499, 999, etc. There is not much difference if they add 1. But psychologically, there is a massive difference between 99 and 100, similarly between 999 and 1000.

Because of the same reasons, these round numbers act as support and resistance in trading as well.